EXECUTIVE SUMMARY

1. Introduction

The Local Government Unit of Lal-lo is a first-class municipality with a population more than 60,000.00 constituents based on a survey conducted by the Barangay Population Officers as at December 31, 2020. It has 35 barangays spread over 70,280 hectares. It is the fourth largest municipality in the Province of Cagayan in terms of land area.

Lal-lo, historically, was Cagayan Valley's first City. It was then named "Ciudad de Nueva Segovia" by Juan Pablo Carreon in 1581, visited by Juan Salcedo in 1572 and Luis Perez Dasmarinas in 1592. It was the capital of Cagayan up to 1839 and has been the first home of the 15th century image of our Lady of Visitation, now known as Our Lady of Piat.

Today, we have seen changes and countless achievements not only in terms of infrastructure projects but also on institutional and social aspects. This municipality has been a consistent winner on Solid Waste Management, Nutrition, Clean and Green in the Provincial, Regional as well as National level and the Seal of Good Housekeeping by the DILG. During the last quarter of 2020, the LGU was conferred the Seal of Good Local Governance, the highest award given by DILG to LGUs wherein it is the pioneer 1st class municipality to receive such award in the whole province. To include, the CSC RO2 had awarded LGU Lal-lo the Maturity Level 2 in Performance Management System under the Program Institutionalized Meritocracy and Excellence in Human Resource Management (PRIME-HRM). For 2017, the LGU was awarded the Red Orchid Award from the Department of Health for implementing a 100% tobacco-free environment and following the World Health Organization's (WHOs) "MPOWER" framework.

The audit covered the accounts and operations of the Municipality of Lal-lo, Cagayan for the year 2020 and was aimed at determining whether management presented fairly the financial statements of the municipality in adherence to the International Public Sector Accounting Standards, whether prevailing laws, rules and regulations have been complied with, and finds were utilized in the most efficient, effective and economical manner. Financial, compliance and performance audit were conducted to achieve these audit objectives.

2. Financial Highlights

The highlights of the financial condition, financial performance, appropriations, allotments and obligations of the Municipality of Lal-lo, Cagayan for the year ended December 31, 2020, with comparative figures for calendar year 2019 are as follows:

Particulars	2020	2019	Increase (Decrease)	
			Amount	Percentage
Financial Position				
Assets	678,452,765.97	596,417,961.53	82,034,804.44	13.75%
Liabilities	325,829,340.64	291,216,524.90	34,612,815.74	11.89%
Govt. Equity	352,623,425.33	305,201,436.63	47,421,988.70	15.54%
Financial Performance				
Income	361,257,495.59	366,273,676.51	(5,016,180.92)	(1.38%)
Expense	312,339,842.66	286,659,102.27	25,680,740.39	8.94%
Appropriations, Allotments and Obligation				
Appropriations	371,985,624.12	365,299,194.42	6,686,429.70	1.83%
Obligations	278,716,679.83	279,906,596.26	(1,189,916.43)	(.43)%

3. Independent Auditor's Report on the Financial Statements

The auditor rendered a qualified opinion on the presentation of the financial statements of the Municipality of Lal-lo, Cagayan as at December 31, 2020 due to the following:

1. One-time cleansing of Property, Plant and Equipment (PPE) account balances was not undertaken contrary to COA Circular No. 2020-006 dated January 31, 2020 due to incomplete information on the status of conditions and whereabouts of these properties in the Physical Inventory of PPE and lacking information on the name of custodian thereof, hence, doubtful as to existence and resulting in unreliable and inaccurate "PPE" account balance in the financial statements.

2. The "Road Network" account in the financial statements of the municipality amounting to P48,710,777.55 does not conform to the required 100% phased recognition of all local roads within its jurisdiction contrary to Item IX of COA Circular No. 2015-008 dated November 23, 2015.

4. Significant Findings and Recommendations

Below is the recommendation on the above-stated basis for qualified opinion:

1. We recommended that Management:

    a) Create the Inventory Committee to conduct physical inventory of all PPEs of the Municipality, whether acquired through purchase or donation, including those constructed by administration and found at station;

    b) Thru the Inventory Committee created, update the property records based on the results of physical inventory, and reconcile with accounting records;

c) Undertake all other procedures prescribed under COA Circular No. 2020-006 dated January 31, 2020 to come up with the reconciled and correct balances of PPE accounts in the financial statements; and

d) After the inventory taking, direct the Municipal Accountant to update the ledger cards for each item of the PPE pursuant to Section 269 of the GAM for LGUs.

2. We recommended that the Municipal Mayor direct the concerned Department Heads to undertake their responsibilities provided in COA Circular No. 2015-008 dated November 23, 2015 to restate the "Road Network" account to its appropriate and fair balance.

The other significant audit observations and recommendations are the following:

1. Donations from the National Food Authority (NFA) valued at P840,305.41 were not recorded in the books of accounts contrary to Sections 187 and 188 of the Government Accounting Manual for LGUs prescribed under COA Circular No. 2020-004 dated January 31, 2020, thus, affected the income, expense and assets accounts in the financial statements of the Municipality.

   Also, various reports on the receipt and distribution/utilization/issuance of in-kind donations received by the LGU as at December 31, 2020 were not furnished to this Office which is not in accord with Part IV-C and V-B of COA Circular No. 2014-002 dated April 15, 2014, thus, casts doubt on whether the donations were utilized for or issued to the intended recipients.

   We recommended that management:

   a) Direct all concerned departments who are receiving goods in-kind from National Government Agencies or from any source, to inform and coordinate with the General Services Office (GSO), for the inspection and receipt of such goods, before issuance to the concerned end users or recipients;

   b) Advise the GSO to prepare the reports as mandated under COA Circular No. 2014-002 dated April 15, 2014 to attain transparency in the receipt, distribution and issuance of all in-kind donations and ensure that the donations have reached the intended recipients, then furnish the accounting office the necessary records on the receipt and issuance for proper recording in the books of accounts; and

   c) Instruct the accounting office to make necessary adjustment to recognize the unrecorded transactions and effect prompt recognition in the books of accounts all forthcoming in-kind donations pursuant to Sections 187 and 188 of the GAM for LGUs prescribed under COA Circular No. 2020-004 dated January 31, 2020.

2. Appropriation under the 20% Development Fund and Maintenance and Other Operating Expenses (MOOE) includes a lumpsum or generic term of projects amounting to P5,585,800.80 without specific/itemized details, contrary to Article 454(d) of the Implementing Rules and Regulations of Local Government Code of 1991 (RA 7160), thus, rendering all contracts of the LCE out of this appropriation invalid if executed without prior authority from the Sanggunian Bayan.

   We recommended the following:

   1. For the Municipal Planning and Development Coordinator to:

      a. Require the Barangay Governments to submit their proposal with complete details before the completion of the Annual Investment Plan.

      b. Initiate the preparation of necessary documents to support cost estimate of projects funded under the 20% Development Plan before the budget preparation.

      c. Develop and recommend other procedures to enhance the current practice regarding the planning and budgeting of the 20% Development Plan to avoid generic and lumpsum projects.

   2. For the Local Chief Executive to:

      a. Require the Municipal Development Council to specify the details of the identified priority projects to be charged under the 20% Development Fund including project location, specific implementation schedule, and physical target to avoid generic or lumpsum appropriation.

      b. Stop the practice of implementing generic or lumpsum projects without further authority from the Sanggunian to avoid suspension/disallowance in audit.

3. Purchase of drugs and medicines do not include information on the required shelf life or expiry dates among the special conditions of the contract and technical specifications for the public bidding, thereby, failed to protect the LGU from delivery of near expiry medicines by the suppliers.

   We recommended that the Municipal Mayor, being the Head of the Procuring Entity (HoPE), instruct the Municipal Health Officer to specify in all requisitions for procurement of drugs and medicines the required shelf life or expiry dates to serve as basis of the Bids and Awards Committee in preparing bidding documents, thereby, avoid near-expiry but obtain appropriate deliveries to meet the needs of the constituents.

4. COA Order of Execution (COE) dated November 3, 2020 duly received by concerned officials and employees of LGU Lal-lo, Cagayan on November 26, 2020 for the collection of audit disallowance amounting to P452,169.47 was not duly enforced contrary to Section 3, Rule XIII of the 2009 Revised Rules of Procedure of the Commission on Audit (COA), thereby, the irregular expenditures for fuel and oil were not recovered.

   We recommended that Management instruct the Municipal Treasurer for the immediate enforcement of the final and executory audit disallowance amounting to P452,169.47 in accordance with the provisions of the 2009 Revised Rules of Procedure of the Commission on Audit to recover irregular expenditures of the government, hence, avoid further legal sanctions.

5. Summary of Total Suspensions, Disallowances and Charges

Suspensions and Disallowances amounting to P25,130,000.00 and P452,169.47 respectively, remained unsettled as at December 31, 2020.

Settlement of Suspensions and Disallowances is shown on table below:

Particulars	Beginning Balance (As at January 01, 2020)	This Period January 01 – December 31, 2020 (See B Below)		Ending balance (As at December 31, 2020)
		NS/ND/NC	NSSDC	
Notice of Suspension	25,130,000.00	-	-	25,130,000.00
Notice of Disallowance	420,0000.00	452,169.47	420,000.00	452,169.47
Notice of Charge	-	-	-	-
Total	**P25,550,000.00**	**452,169.47**	**420,000.00**	**P25,582,169.47**

6. Status of Implementation of Prior Year's Audit Recommendations

Out of the twenty-two (22) audit recommendations of last year's report, sixteen (16) were fully implemented, three (3) were partially implemented and 3 (three) were not implemented as at year-end.